LAWS1150 contracts flowchart

Principles of Private Law (University of New South Wales)



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LAWS1150 Flowcharts

Contract Formation

1. Agreement → Offer

1. An offer must contain definite terms capable of being accepted as an expression of willingness to form a binding agreement (*Gibson v Manchester City Council*).

2. Is it distinguished from an invitation to treat?

- An invitation for others to make an offer or enter into a negotiation (i.e. indication of willingness to negotiate, not a binding offer) (*Pharmaceutical Society v Boots*).
- Look at the facts: has negotiation already occurred?

3. Was it a mere puff?

- *Carbolic smoke ball*: "No" → "£1 000 is deposited with the Alliance Bank, shewing our sincerity in the Matter." The specificity also made it more than mere puff.

Revocability?

- No universal rule, depends on the circumstances of the case.
- Can be revoked prior to acceptance, unless there is an ancillary contract that it can't be.
- *Mobil Oil v Wellcome*

2. Agreement → Acceptance

- Clear communicated acceptance.

Silence: Cannot constitute acceptance, unless coupled with actions that indicate acceptance (*Empirnall Holdings v Machon*).

- Where an offeree with a reasonable opportunity to reject the offer takes the benefit of them under circumstances which indicate that they were to be paid for in accordance with the offer, it is open hold that the offer was accepted according to its terms.
- Whether a reasonable bystander would regard the conduct of the offeree, including his silence, as signalling to the offeror that his offer has been accepted

Postal Acceptance Rule: Acceptance is complete as soon as it is posted (*Henthorn v Fraser*).

4. Is there a bilateral or unilateral contract?

- Bilateral:
  - (Offeror) Offer → ← Acceptance (Offeree)
  - (Offeror) Performance → ← Performance (Offeree)
- Unilateral: Promise made in return for an act (*Carlill v Carbolic*).
  - (Offeror) Offer →
  - ← Acceptance = Performance (Offeree): Acceptance occurs through the act of performance (*Carlill v Carbolic; Mobil Oil v Wellcome*).
  - (Offeror) Performance →
  - Intention of the person completing the activities stated on the contract → did they know about it? Did they have some other purpose for completing it? Did they rely on the contract? (*Crown v Cl*

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3. Consideration

- 3 types: performance, promise, forbearance.
- Consideration only has to be sufficient, not adequate (*woolworths v kelly*).
- Past consideration is not sufficient consideration (*Roscorla v Thomas*).
    - Exception to this principle: a promise to pay for past services which were rendered on the basis that they were to be paid for — e.g. *Pao On v Lau Yiu Long*
- A promise to perform an existing contractual duty is not regarded as sufficient consideration.
    - Part payment of debt is not consideration (*Pinnel's case; Folkes v Beer).*
    - Exception to this rule:
        - Practical benefit (*Williams v Roffey*).
        - Bone Fide compromise can be sufficient consideration (*Wigan v Edwards*).
    - Five part test → *Williams v Roffey Bros:*
        1. B engages A to perform work or supply goods;
        2. During performance, B has reason to doubt whether A will be able to complete;
        3. B promise additional pay if A completes on time;
        4. As a result, B obtains a "practical benefit" and
        5. Additional promise not given as a result of duress or fraud.

4. Intention

Ermogenous → legal presumptions should not be relied upon and there should be an objective consideration dependent on the facts of the current case.

- Presumptions help to show where the onus of proof lies.

Preliminary agreements → *Masters v Cameron* 3 categories:

1. The parties may have finalised "all the terms of their bargain" and intend to be bound immediately but propose to restate the terms in a form which is fuller or more precise, but not different in effect.
2. The parties may have "completely agreed upon all the terms of their bargain" and do not intend to vary those terms but "have made performance of one or more terms conditional upon the execution of a formal document"
3. The parties may not intend to make a binding agreement at all unless and until they execute a formal contract.
4. The parties were content to be bound immediately and exclusively by the terms which they had agreed upon whilst expecting to make a further contract in substitution for the first contract, containing, by consent, additional terms — *Baulkham Hills* added 4th category which has been accepted.

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5. Certainty

Three Types:

1. Uncertainty
    - can look at external standards (*Biotech v Pace*).
    - Minimum standard provided (*Biotech v Pace*).
    - Severance test: When a contract contains a number of stipulations one of which is void for uncertainty, the question whether the whole contract is void depends on the intention of the parties to be gathered from the instrument as a whole. If the contract be divisible, the part which is void may be separated from the rest and does not affect its validity (Life insurance v Phillips).
2. Incompleteness
    - Unless they are such, the law will supply (*Milne v Attorney-General*).
3. Illusory promise
    - A clause in a contract that reserves all discretion for one party does not create an enforceable promise (*Placer Development*).

Courts want to uphold contracts but they do not want to uphold agreements that parties have not agreed to (Kitto J).

Privity

A contract cannot confer an enforceable benefit on a non-party, nor can it impose an enforceable burden on a non-party. It doesn't apply when:

1. Where one of the parties who is involved acts as agent for the non-involved party; and
2. Where one of the parties involved transfers contractual benefits to the non-involved party by way of an assignment or novation of the contract.

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